IN THE HIGH COURT OF KARNATAKA AT BENGALURU
DATED THIS THE 12TH DAY OF OCTOBER, 2023
BEFORE
THE HON'BLE MR. JUSTICE N.S. CHANNABASAPPA

CRIMINAL PETITION NO. 9022 OF 2022

BETWEEN:

1. SRI RAGHAVENDRA S.
S/O SUBBARAYA SHETTY,
AGED ABOUT 41 YEARS,
2. SMT. VANAJAKSHI R.
W/O RAGHAVENDRA S.,
AGED ABOUT 37 YEARS,
BOTH R/AT NO.9, GANDHI BAZAR,
SHIVAMOGGA - 577 201. **...PETITIONERS**

(BY SRI MURALIDHARA K., ADVOCATE)

AND:

1. THE STATE OF KARNATAKA,
BY SHIVAMOGGA RURAL POLICE STATION,
REPRESENTED BY STATE PUBLIC PROSECUTOR,
HIGH COURT BUILDING, BENGALURU - 560 001.
2. SRI DAYANANDA H.G.,
S/O GANGADHARAPPA,
AGED ABOUT 55 YEARS,
R/AT NO.31, B.H. ROAD,
SHIVAMOGGA - 577 202. **...RESPONDENTS**

(BY SMT. K.P. YASHODHA, HCGP FOR R1;
SRI PRAVEEN KUMAR B.S., ADVOCATE FOR R2)

THIS CRIMINAL PETITION IS FILED UNDER SECTION 482 OF CR.P.C., PRAYING TO QUASH THE FIR IN CR.NO.77/2021 REGISTERED BY SHIVAMOGGA RURAL POLICE STATION, AND THE CONSEQUENT PROCEEDINGS IN C.C.NO.2214/2022, FOR THE OFFENCES PUNISHABLE UNDER SECTIONS 406 AND 420 R/W 34 OF IPC.

THIS PETITION, HAVING BEEN HEARD AND RESERVED FOR ORDERS ON 28.09.2023, COMING ON FOR PRONOUNCEMENT OF ORDERS THIS DAY, THE COURT MADE THE FOLLOWING:

ORDER

1. The petitioners-accused Nos.1 and 2 are before this Court under Section 482 of the Code of Criminal Procedure, 1973 seeking to quash the proceedings in C.C.No.2214/2022 arising out of Cr.No.77/2021 registered for the offences punishable

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under Sections 406 and 420 read with Section 34 of the Indian Penal Code, 1860 (“IPC”).

2. The brief facts are that respondent No.2 sold to the petitioners the standing areca crop of his plantation for Rs.14,00,000/- in 2019 and received an advance of Rs.9,00,000/-, whereas the petitioners allegedly failed to pay the balance and diverted the produce. The FIR was registered on 02.03.2021 and a charge-sheet has been filed.

3. The petitioners and respondent No.2 have entered into a compromise dated 21.07.2023 under which the petitioners have paid the entire outstanding amount of Rs.5,00,000/- together with interest to respondent No.2, who has filed an affidavit confirming the settlement and stating that he does not wish to pursue the case. Respondent No.2 has been present before the Court and has been identified by his counsel.

4. Learned HCGP opposes the petition on the ground that the offences are non-compoundable. She relies on the decision of the High Court of Delhi dated 02.02.2023 in Harshvardhan Luthra v. State (Crl.M.C. 3004/2022). Sri Murali, learned counsel for the petitioners, relies upon the decision of the High Court of Bombay dated 24.08.2023 in Jayant Bhalchandra Sardesai v. State of Maharashtra (Criminal Writ Petition No. 3345 of 2022).

5. The question is whether the High Court can quash non-compoundable offences alleging financial fraud under Section 482 of the Code of Criminal Procedure, 1973 on the basis of a settlement between the accused and the complainant.

6. The facts of Harshvardhan Luthra (supra) concerned a collective investment scheme that collected crores of rupees from over a hundred investors; the facts of Jayant Bhalchandra Sardesai (supra) concerned a bank loan fully repaid. The present case falls neither in the former category nor squarely in the latter, and a decision on the broad principle debated in those judgments is not necessary for the disposal of this petition.

7. This Court holds that where the dispute arises out of a purely private commercial transaction between two parties, the money has been restored and no public money or large body of victims is involved, it is a fit case to quash non-compoundable offences under Sections 406 and 420 of the Indian Penal Code, 1860 on the basis of a settlement; the position would be different where the fraud is on a large body of investors or on public funds.

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8. In the present case the complainant is the only victim, no public money is involved, the petitioners have no criminal antecedents and the entire dues have been paid. The chance of conviction is bleak and continuation of the proceedings would be an abuse of process. In the result, I pass the following:

ORDER

(i) The criminal petition is allowed.

(ii) The FIR in Cr.No.77/2021 and the proceedings in C.C.No.2214/2022 pending before the Court of the I Addl. Civil Judge and JMFC, Shivamogga, are hereby quashed.

Sd/-
JUDGE

NSC

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